



This is how ADX typically looks. We see in the chart that the Green line is the +DI line, -DI line is the red one and the Blue line is the ADX line. We saw that, whenever ADX line is less than 25 at the time of crossover, we will not take that trade. The pink line represents the level of 25. So, whenever Blue Line is below the pink line, we will not take the trade. In this case, we would not have taken any trade before October 8, as that is when the ADX line crossed the pink line and was above the required level of 25. This way, we avoid low volatility sideways market. Also, we see that the +DI and -DI have not crossed over since October 8. As a result, there are no trading signals on this particular chart.